manner of risk premia are driven down by this search for yield and thus risk.

So let me summarize. We are experiencing a widespread phenomenon of high productivity growth, but low investment relative to desired savings, which has pushed down interest rates and pushed up asset prices. With plentiful liquidity, investment managers have reduced the premia for risk as they search for yield. In an attempt to generate alpha, many managers may be taking on beta risk, and even underpricing it. Of course, low interest rates and plentiful access to credit will, for a time, result in low default rates, which will appear to justify the low risk premia. The search for yield and for illiquidity knows no borders as oceans of capital spread across the globe, and asset prices across the globe are being pumped up. As the French say, 'Pourvu que ça dure!'

CONSEQUENCES

What could go wrong? The hope is of a 'soft' landing in the real sector where the factors that led to the current real sector imbalances reverse gently – for instance, domestic demand picks up in the non-industrial world, and growth recovers in Europe and Japan, even while tighter financial conditions slow consumption in the United States. As a better balance between desired savings and investment is achieved, interest rates move up slowly, credit becomes less easy (aided by central bank tightening), and illiquidity seeking and risk seeking reverse gently without major blow-ups.

Of course, if any of this happens more abruptly, the consequences could be uglier. The problems would be most acute if the banking sector is infected. Banks make returns both by originating risks and by bearing them. Since risks that do not need management or are relatively easy to assess can be moved off bank balance sheets into the balance sheets of investment managers, banks have an incentive to